

IN THE HIGH COURT OF DELHI AT NEW DELHI
(Civil Original Jurisdiction)

Civil Suit No. 4872 of 2023

BETWEEN:

Rajesh Kumar Sharma ... Plaintiff
S/o Late Shri Mohan Lal Sharma
R/o 47-B, Preet Vihar, New Delhi – 110092

AND

Sunil Enterprises Pvt. Ltd. ... Defendant
Regd. Office: Plot No. 12, Okhla Industrial Area,
Phase-II, New Delhi – 110020
Represented by its Managing Director,
Mr. Anil Verma

Date of Filing: 12th March 2023
Date of Hearing: 15th June 2023
Presiding Judge: Hon'ble Mr. Justice Vikram Singh Chauhan
Court: Civil Court No. 3, Delhi High Court
Subject Matter: Breach of Contract, Recovery of Money, Damages

PLAINT

(Under Order VII Rule 1 of the Code of Civil Procedure, 1908)

MOST RESPECTFULLY SUBMITTED:

1. BRIEF FACTS

1.1 The Plaintiff, Mr. Rajesh Kumar Sharma, is a resident of Delhi engaged in the business of interior design and civil construction. He entered into a formal written Contract dated **15th September 2022** with the Defendant, Sunil Enterprises Pvt. Ltd., for the complete interior fit-out and civil renovation of the Defendant's commercial office premises located at Plot No. 12, Okhla Industrial Area, Phase-II, New Delhi.

1.2 As per the terms of the Contract, the total consideration agreed was **Rs. 85,00,000/- (Rupees Eighty-Five Lakhs only)**, to be paid in four installments linked to project milestones as follows:

- 1st Installment: Rs. 25,00,000/- on signing of contract — **Paid**
- 2nd Installment: Rs. 20,00,000/- on completion of civil work — **Paid**
- 3rd Installment: Rs. 25,00,000/- on completion of electrical & woodwork — **Not Paid**
- 4th & Final Installment: Rs. 15,00,000/- on final handover — **Not Paid**

1.3 The Plaintiff completed all milestones as per the project schedule, and the third milestone was certified as complete on **20th December 2022** by the Defendant's own Project Manager, Mr. Rakesh Gupta, as evidenced by Completion Certificate No. SE/2022/47 annexed hereto as **Exhibit P-1**.

1.4 Despite repeated oral and written reminders, the Defendant failed and neglected to release the 3rd installment of Rs. 25,00,000/- (Rupees Twenty-Five Lakhs) upon completion of the third milestone, and further failed to pay the 4th and final installment of Rs. 15,00,000/- (Rupees Fifteen Lakhs) upon final handover of the fully completed project on **20th February 2023**.

1.5 The Plaintiff issued a Legal Notice dated **01st March 2023** through his counsel demanding payment of the outstanding amount of **Rs. 40,00,000/-** (Rupees Forty Lakhs) within 15 days. The Defendant acknowledged receipt of the notice but failed to make payment or provide any valid justification for withholding the amounts.

2. CAUSE OF ACTION

2.1 The cause of action for this suit arose on 20th December 2022 when the 3rd installment fell due and was not paid, and again on 20th February 2023 when the final installment became due. The cause of action is continuing as the Defendant continues to withhold the contracted amounts rightfully due to the Plaintiff.

3. LEGAL GROUNDS

3.1 The Defendant has committed a clear breach of the terms of the Contract, and the Plaintiff is entitled to recover the outstanding amounts along with interest under **Section 73 of the Indian Contract Act, 1872**, which provides for compensation for loss or damage caused by breach of contract.

3.2 The Contract further contains a Penalty Clause (Clause 12) providing for payment of interest at the rate of **18% per annum** on outstanding amounts for each day of delay in payment, enforceable under **Section 74 of the Indian Contract Act, 1872**.

3.3 This Hon'ble Court has jurisdiction to entertain and try this suit under **Section 9 of the Code of Civil Procedure, 1908**, as the cause of action partly arose within the jurisdiction of this Court and the Contract was signed in Delhi.

3.4 This suit is within limitation as per the Limitation Act, 1963, as the cause of action for the final installment arose on 20th February 2023, and this suit is filed on 12th March 2023, well within the three-year limitation period.

4. RELIEF SOUGHT

4.1 In view of the above facts and circumstances, the Plaintiff most humbly prays that this Hon'ble Court be pleased to:

(a) Decree the suit in favour of the Plaintiff for recovery of the outstanding contract amount of **Rs. 40,00,000/-** (Rupees Forty Lakhs) from the Defendant;

(b) Award interest at **18% per annum** on the said amount from the respective due dates till

the date of actual payment, as provided under the Contract and Section 74 of the Indian Contract Act, 1872;

(c) Award **Rs. 5,00,000/-** (Rupees Five Lakhs) as damages for loss of business opportunity and mental agony caused by the Defendant's breach of contract;

(d) Award costs of this litigation including counsel fees and miscellaneous expenses;

(e) Grant such further and other relief(s) as this Hon'ble Court may deem fit and proper in the facts and circumstances of the case.

VERIFICATION

I, Rajesh Kumar Sharma, the Plaintiff above-named, do hereby verify that the contents of paragraphs 1 to 4 of this Plaint are true and correct to the best of my personal knowledge and belief, and that nothing material has been concealed therefrom.

Verified at New Delhi on this 12th day of March 2023.

Rajesh Kumar Sharma
(Plaintiff)

Advocate for Plaintiff
Mr. Pradeep Mehta, Advocate
Bar Council No.: D/2847/2015

LIST OF EXHIBITS ANNEXED

Exhibit P-1: Completion Certificate No. SE/2022/47 dated 20.12.2022

Exhibit P-2: Contract Agreement dated 15.09.2022 between the parties

Exhibit P-3: Bank Transfer receipts for 1st and 2nd installments

Exhibit P-4: Email correspondence between parties dated 22.12.2022 to 28.02.2023

Exhibit P-5: Legal Notice dated 01.03.2023 and postal acknowledgement

Similar Cases: Bharat Coking Coal Ltd. v. Annapurna Construction AIR 2003 SC 3660 | Hadley v. Baxendale (1854) 9 Ex 341 | ONGC v. Saw Pipes Ltd. AIR 2003 SC 2629 | SCC 2019 Del 445